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Centrus Energy (LEU): Hold

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America's only uranium enricher, fairly priced. At $142, Centrus trades 10% below our $128 base case after a 61% drawdown. The $4.5B backlog is real, but execution risk is fully priced.

Hold	$128	$142.44	-10%
RATING	BASE TARGET (BLENDED $131)	SPOT (OCT 9, 2026)	DOWNSIDE TO BASE

$89 / $180	8.6%	$4.5B	$900M	$1.9B	1.39
BEAR / BULL TARGETS	LIVE WACC	CONTRACTED BACKLOG	DOE HALEU CONTRACT	CASH BALANCE	EQUITY BETA

Executive summary

We initiate coverage of Centrus Energy with a **Hold** and a $128 base-case target (blended $131). Centrus is the only U.S.-owned uranium enrichment company, positioned at the intersection of national security and the nuclear renaissance. The $4.5B contracted backlog (to 2040), the $900M DOE HALEU contract, and the Russian import ban create a uniquely advantaged setup.

Our five-year DCF (5% / 12% / 18% revenue CAGRs, FCF margins normalizing to 15% / 20% / 25%) yields Bear $89, Base $128, Bull $180 at an 8.6% live WACC. The stock has fallen 61% from its $464 high to $142, and now trades 10% above our base case. The market is pricing in strong but not flawless execution.

> **Our read:** the drawdown has restored sanity to the valuation. Our reverse DCF shows $142 implies 17.5% revenue growth, between our base and bull cases, which is demanding but achievable given the $2.4B of definitive LEU agreements. The $1.9B cash buffer derisks the $350-500M capex build. We are constructive on the story but need a cheaper entry or flawless HALEU execution to get involved.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	5%	12%	18%
2030 revenue ($M)	606	837	1,084
2030 FCF margin	15%	20%	25%
Terminal growth	2.5%	2.5%	2.5%
Target per share	**$89**	**$128**	**$180**

WACC 8.6% live (spot 10Y 5.24% + 1.39 beta x 3.37% implied ERP). Gordon terminal. Net cash $700M; 19.95M shares.

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Price targets are dynamic and adjust with live Treasury yields, the equity risk premium, and beta.
The valuation website always reflects the most current targets.

Bull case: $180 HALEU SCALES

Contingent LEU agreements convert to firm revenue, HALEU production scales on schedule, and SMR demand accelerates. Revenue grows at 18% to $1.1B with 25% FCF margins. Worth $180, 26% above spot.

Bear case: $89 EXECUTION STALLS

Centrifuge manufacturing delays, contingent contracts fail to convert, or political support wavers. Revenue grows at 5% to $606M, FCF margins stall at 15%. Worth $89, 38% below spot.

Verdict

> **We rate LEU Hold.** The strategic position is unmatched, but at $142 the stock is fairly valued against our $128 base case. The 61% drawdown has removed the euphoria, yet the market still prices in 17.5% growth. We would be buyers below $110, where the base case offers 15%+ upside with the backlog as a floor.

What would change our mind

- **Price:** a decline below $110 would make the risk-reward compelling.
- **Contract conversion:** $2.4B of definitive agreements converting to recognized revenue would validate the bull case.
- **HALEU milestones:** on-time delivery against the DOE contract would de-risk the growth story.

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Key themes

1. Geopolitical monopoly is the moat STABLE

The Russian import ban and NNSA sole-source positioning give Centrus a quasi-monopoly on domestic enrichment. Utilities sign decade-long contracts prioritizing supply security.

2. HALEU is the growth engine ACCELERATING

The $900M DOE contract (up to $1.07B with options) funds commercial HALEU capacity. Centrus is the only licensed U.S. HALEU producer, critical for SMR deployment.

3. Backlog provides visibility STABLE

$4.5B of contracted backlog to 2040, with $2.4B under definitive LEU agreements. Conversion of contingent sales is the primary 36-month catalyst.

4. Capex intensity masks earnings DECELERATING

$350-500M of 2026 capex against $475M of guided revenue means FCF is deeply negative during the build. The $1.9B cash buffer prevents dilution.

Other KPIs

METRIC	VALUE
Market cap (at $142.44)	$2.84B
Enterprise value	$2.14B
2026 revenue guide	$450-500M
2026 capex guide	$350-500M
Cash and equivalents	$1.9B
Q2 2026 EPS / beat	$1.77 / +$1.03

Guidance

Q3 2026 results are due around November 4. Watch contingent-to-definitive contract conversion, Ohio/Tennessee centrifuge manufacturing progress, and HALEU delivery milestones.

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Reverse DCF: what the market is pricing in

At $142.44, LEU carries a $2.84B market cap and a $2.14B enterprise value. The market-implied five-year revenue CAGR is **about 17.5%**, between our base case (12%) and bull case (18%).

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~17.5%	$142.44 (spot)
Bull case	18%	**$180**
Base case	12%	**$128**
Bear case	5%	**$89**

The market is pricing in strong execution, which is reasonable given the backlog. The valuation is fair; the opportunity lies in execution surprises.

Model

https://docs.google.com/spreadsheets/d/12o1qWhMQk8_7YFNQm9b4OVIJTCs34UOpDJAQ-dw3P_Y/edit?usp=drivesdk

Risks to our Hold

- Centrifuge manufacturing delays or cost overruns would push toward the bear case.
- Political shifts affecting nuclear support or the Russian import ban.
- SMR commercialization slower than expected would delay HALEU demand.

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